

Debunking the Seasonality Myth

We believe that the crypto bull market has room to run in early 4Q25, driven by a resilient liquidity and macro backdrop as well as supportive regulatory dynamics. In our view, bitcoin in particular can continue to outperform market expectations as it benefits directly from existing macro tailwinds. That is, barring a shock to energy prices (or other factors that could negatively affect the inflation trend) we think the immediate risk to disrupting the current US monetary policy path is actually quite low. Meanwhile, technical demand from digital asset treasuries (DATs) should keep crypto markets well-supported.

However, the seasonality question continues to haunt the crypto space, as historically, bitcoin has experienced six consecutive declines against USD in September between 2017 and 2022. While this trend leads many investors to believe that seasonality significantly impacts crypto performance, this assumption would have been incorrect in both 2023 and 2024. Indeed, our research indicates that the limited sample size of available data and the broad spectrum of potential outcomes restrict the reliability of such seasonal indicators.

Across frequency plots, logistic odds ratios, out-of-sample scoring, placebo checks, and controls, the message is the same: calendar effects are not a statistically dependable predictor of whether monthly returns will be positive or negative for BTC. The coincident declines in previous Septembers and even the increases linked to bitcoin's "Uptober" lore may be statistically interesting, but not statistically significant.

A more salient question for crypto markets is whether we are early or late in the DAT cycle. Public DATs hold over 1M BTC (\$110B), 4.9M ETH (\$21.3B) and 8.9M SOL (\$1.8B) as of September 10, while late entrants have started to target altcoins further down the risk curve. We believe that we're currently in the player-versus-player (PvP) phase of the cycle, which can continue to drive capital into the large cap crypto names. However, this is also more than likely a precursor to consolidation among the smaller DAT players.

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